

MONETARY POLICY & OPERATIONS & EXPERIENCE WITH INFLATION TARGETING

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Consultations if any: can walk in

but can better reach out to me email/whatsapp/mobile with heads-up on what you want to discuss

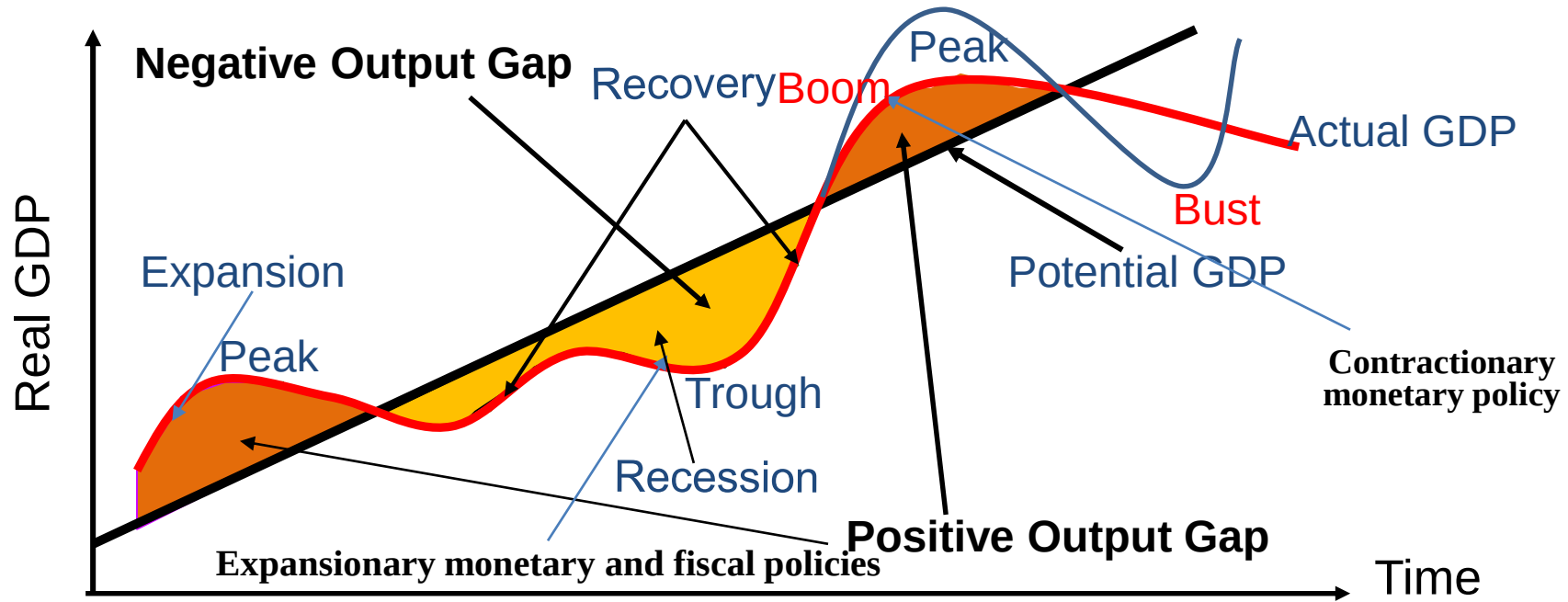
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June 10 , 2026

PGP FIN06 Term IV: Financial Crisis, IIM, Kozhikode

What is Monetary Policy? How does it handle business cycles?

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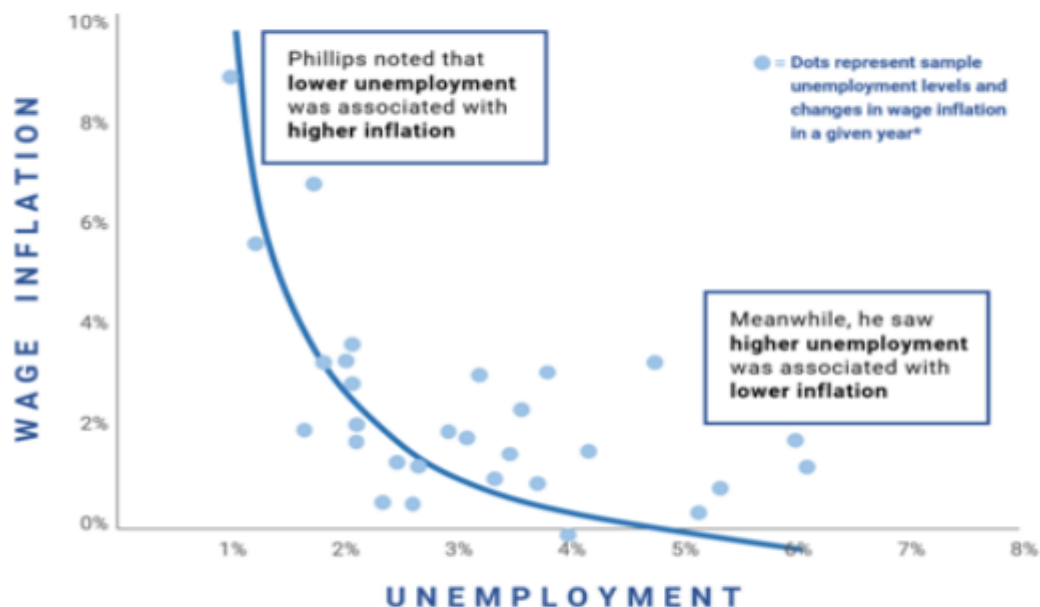
- **Monetary Policy** is application of **Monetary Theory** and **Application** of set of **Monetary Instruments** to achieve **Monetary Objectives**. Typically, but not always, the policy is operated by the monetary authority (central bank) through control of money supply and short-term interest rates.
- Monetary Policy is important, because economies are subjected to endogenously propagated business cycles. It seeks to operate the economy close to its potential output level by undertaking counter-cyclical stabilization and not allow it to wander much from there, else generate booms and busts cycles that prove to be inflationary or deflationary entailing severe multi-year costs.
- Monetary policy aims to keep output gaps small and, therefore, its efficacy depends on prediction of business cycles with reasonable precision, considering lags in monetary policy transmission. However, these transmission lags are long and variable making the task difficult.

Does Phillips Curve Exist? If Yes, What is its Shape?

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UNDERSTANDING THE PHILLIPS CURVE

In the 1950s, A.W. Phillips plotted decades' worth of data on wage inflation and unemployment. He noticed an inverse relationship between these two indicators.

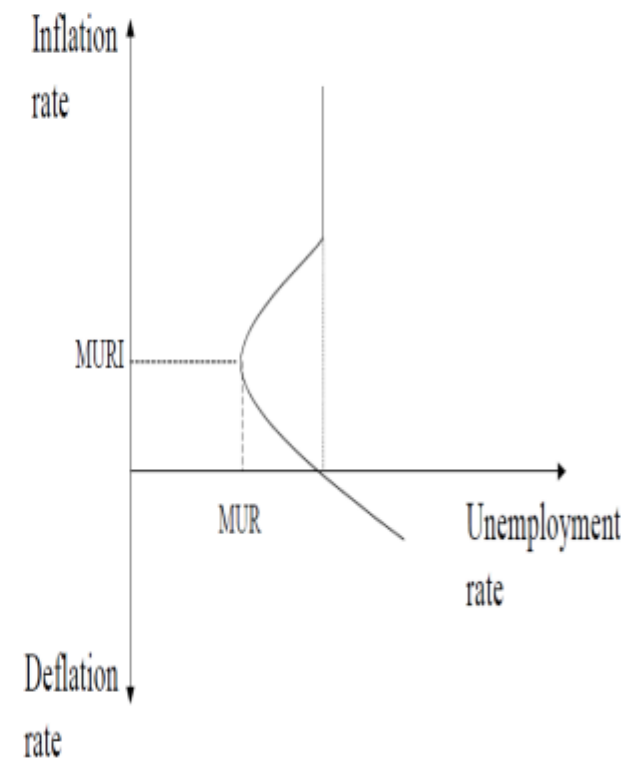
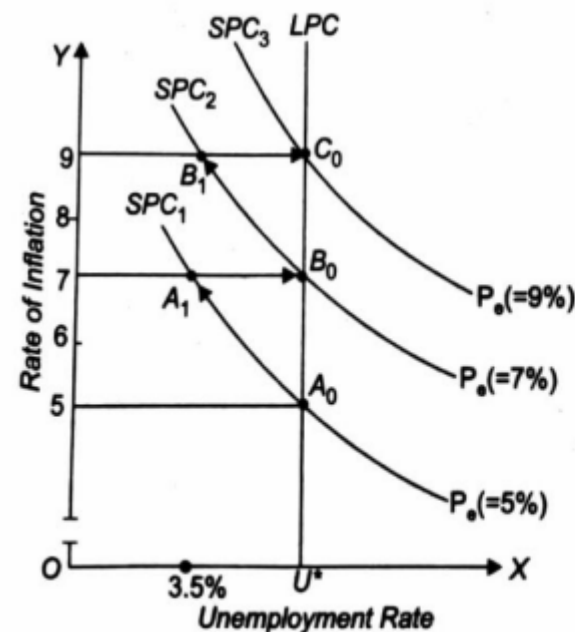


BUT WHY?

The idea may seem intuitive: A lower unemployment rate means more people are working, which signals increased demand for labor. That can put upward pressure on wages, so companies may raise prices for their products. But the inverse relationship Phillips described has "flattened" in recent years, prompting debate among economists and policymakers.

Shape of the Phillips Curve Can be:

- Downward sloping convex to the origin
- Vertical
- Backward bending
- Flat Horizontal



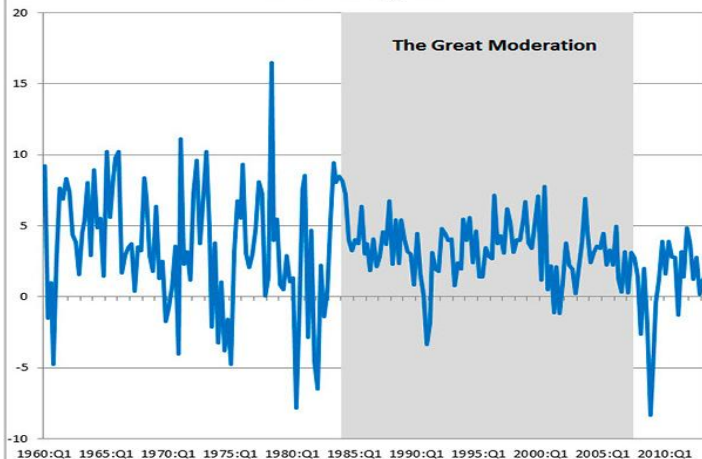
*This illustration is intended for conceptual purposes only. It's partly modeled on the Figure 1 scatterplot on Page 285 of Phillips' 1958 paper, which contained 1861-1913 data. Each dot represents a year. The vertical axis shows the average rate of change of money wage rates; the horizontal axis shows average unemployment.

Paul Volcker Broke the Back of Inflation & a period of Great Moderation followed with Inflation & Inflation Expectations were tamed

<https://www.facebook.com/watch/?v=3306627536275680>

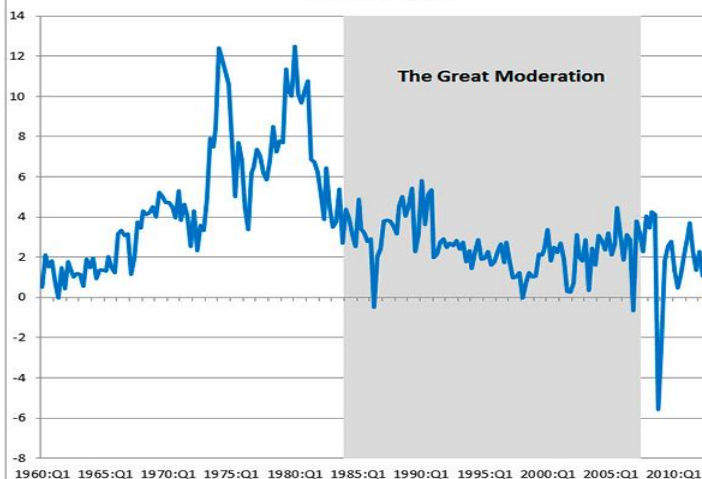
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Real GDP growth



Sources: Bureau of Economic Analysis, Haver

PCE Inflation



Sources: Bureau of Economic Analysis, Haver

- **HOW VOLCKER BROKE THE BACK OF INFLATION** board led by Volcker raised the Federal Funds Rate, which had averaged 11.2% in 1979, to a peak of 20% in June 1981. The prime rate rose to 21.5% in 1981 as well, which helped lead to the 1980-1982 recession, in which the national unemployment rate rose to over 10%.
- **GREAT MODERATION FOLLOWED TILL THE GFC:** After a brief recession caused by breaking the back of inflation, a long period of great prosperity followed in the US. This period of mid-1980s to 2007 was known as an era of “Great Moderation” with low and stable inflation and macro-economic stability.
- The Great Moderation has been portrayed as an outcome of the monetary policy framework laid by Paul Volcker and continued by Alan Greenspan and Ben Bernanke during their stints as Federal Reserve chairs. In a speech delivered in 2004, Bernanke hypothesized three potential causes for the Great Moderation: structural change in the economy (widespread use of computers, structural shift to services, advances in financial system) improved economic policies (deregulation, openness, better macroeconomic management), and good luck (stable oil prices, integration of EMEs into global trade & finance).
- After the GFC, as advisor to Barrack Obama, **VOLCKER RULE** was made part of the Dodd-Frank Act that prohibited deposit-taking institutions from engaging in riskier activities such as proprietary trading, private equity and hedge fund investments.

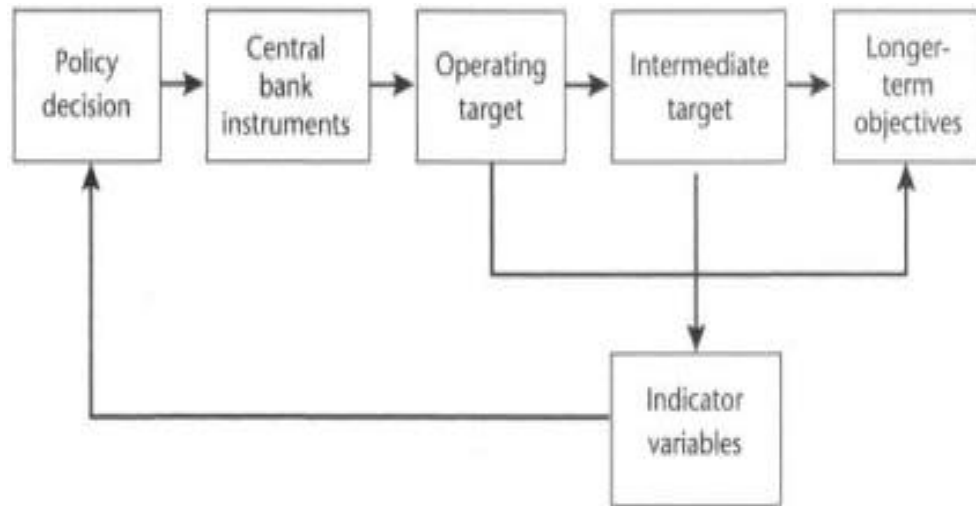
What are the Instruments for conduct of Monetary Policy conventionally?

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Monetary Policy Framework

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- **Monetary policy framework** is the catch all term in which monetary policy is framed and conducted. It consists of instruments, how they are calibrated and used, operational targets, operating procedures, intermediate targets, and ultimate goals.
- To achieve the established ultimate goals, intermediate targets are required as there is a time lag between the implementation of monetary policy and the realization of these goals the monetary policy

Popular form of monetary policy frameworks include:

- Direct controls, such as that on credit or interest rates
- Monetary targeting
- Interest rate targeting
- Inflation targeting
- Fixed Exchange rates
- Currency boards

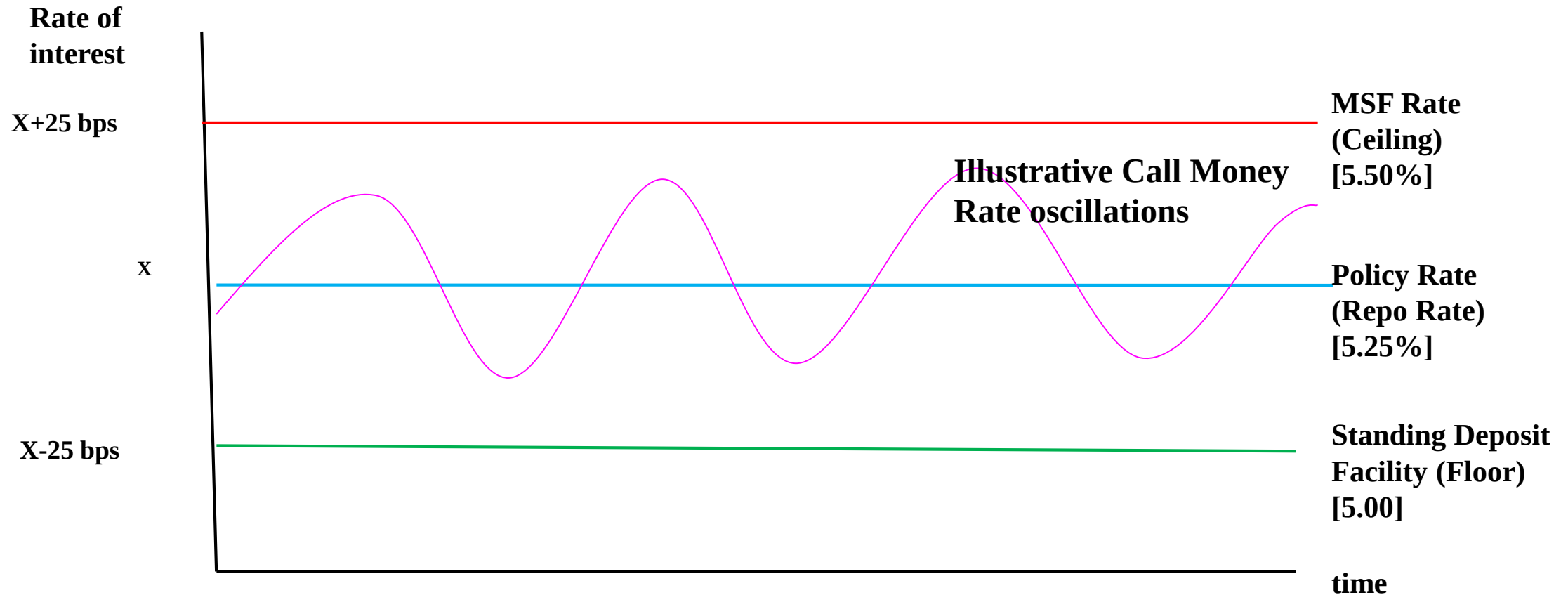
What are the monetary policy operating procedures (MPOPs) that the central banks use

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- The MPOPs are a set of procedures that help central bank maintain its operating target
- The operating target of monetary policy is an economic or financial variable, which the central bank wants to control, and indeed can control, to a very large extent on a day-by-day basis through the use of its monetary policy instruments.
- It is typically the variable the level of which the central bank decides, generally as a collegiate decision of a monetary policy decision making committee like the Monetary Policy Committee (MPC).
- The operating target thus (i) gives guidance to the implementation officers in the central bank what really to do on a day-by-day basis in the inter-meeting period, and (ii) serves to signal the stance of monetary policy to the public.
- Typically, it is the short-term inter-bank interest rate that is used as an operating target – mostly overnight uncollateralized but also collateralized overnight or the 7-day/14-day repo rates.

RBI's current short-term interest rate corridor

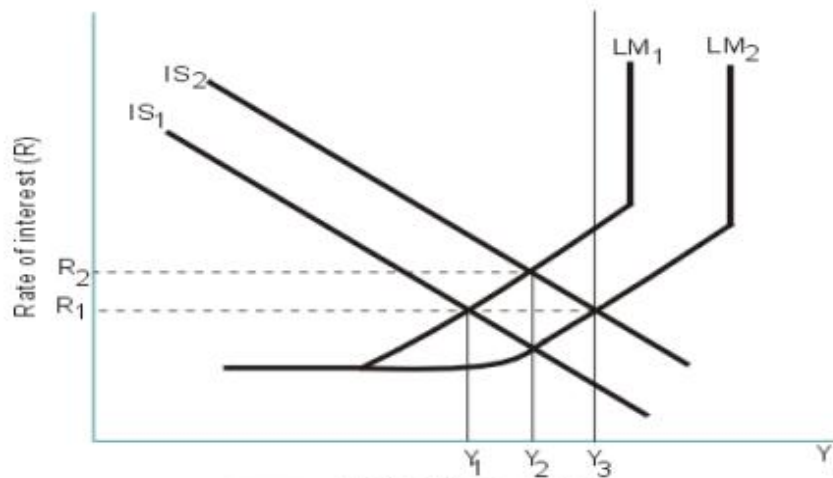
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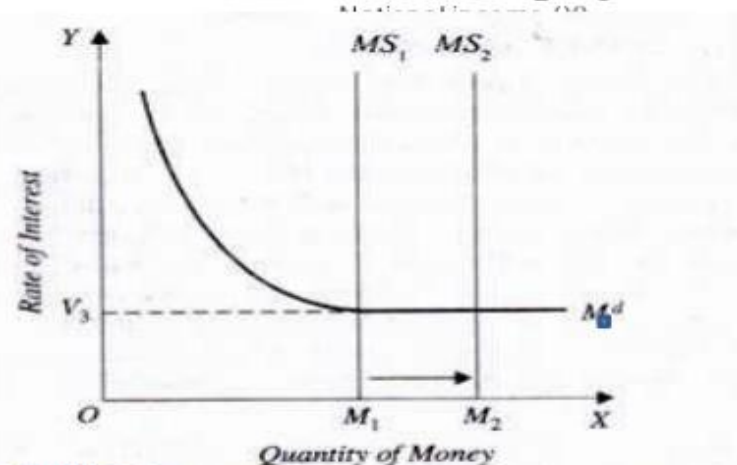
Q: Why do the money market rates get anchored to near policy rate within the interest rate corridor, with odd breaches of the corridor on some occasions?

Keynesian Liquidity Trap & the Zero Lower Bound (ZLB) on Monetary Policy

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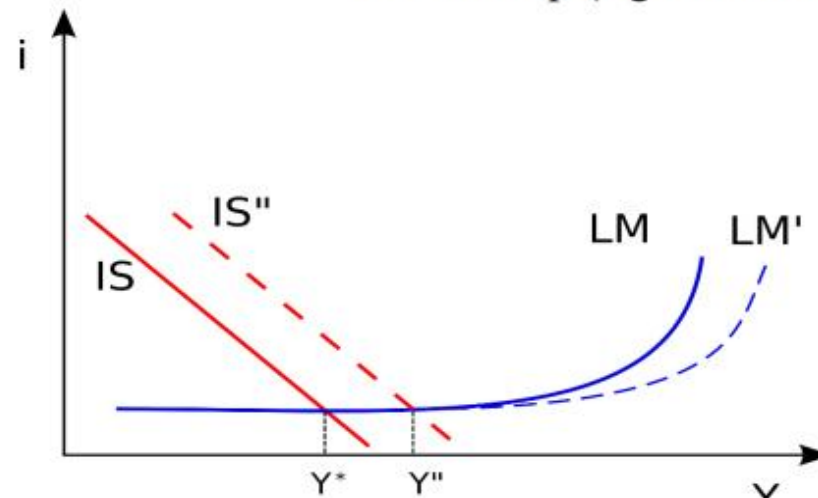


- A liquidity trap occurs when interest rates fall so low (approaching ZLB) that everyone prefers to hold cash and not bonds. They expect interest rates to follow one-way street, rising at some point in future and not fall any more. Staring at potential losses on bond holding they hold cash. So, if money supply is increased (shift LM to the right), interest rates and output level remains unchanged. Monetary policy cannot stimulate spending by increasing monetary supply or cutting interest rates any further. Only Fiscal expansion can aggregate demand up (rightward shift of IS)



Liquidity Trap

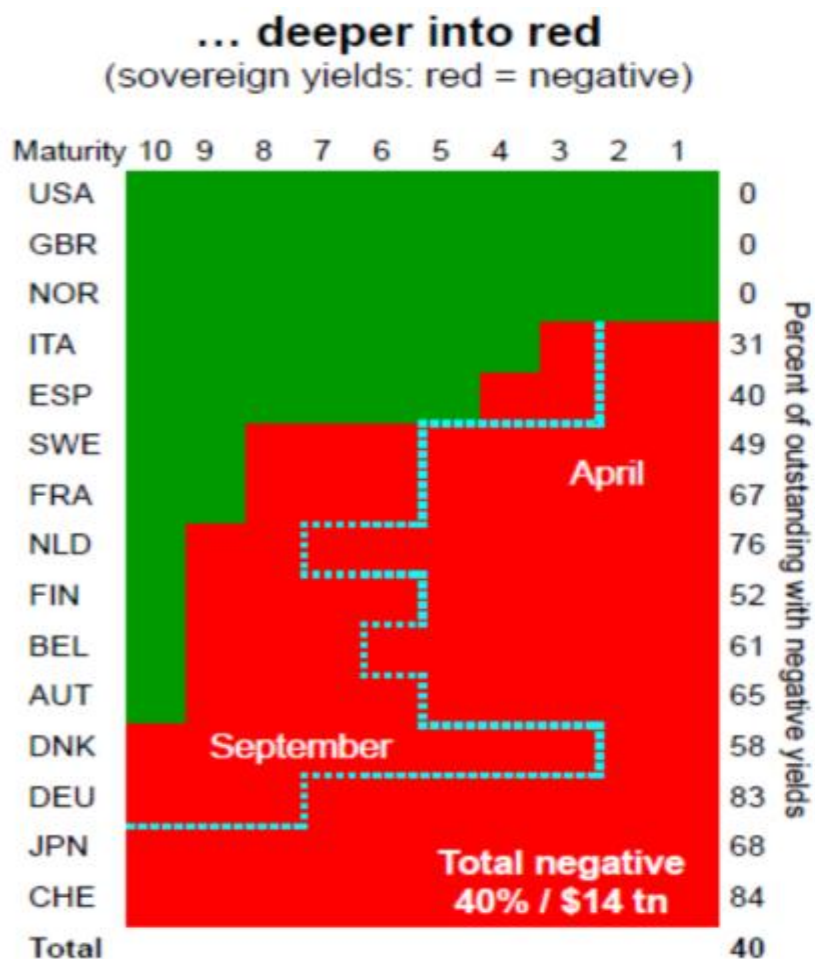
In liquidity trap situation increase in Money Supply does not cause fall in interest rate.



What are the Unconventional Monetary Policy Tools (UMPTs)?

Negative Interest Rate Policies (NRIP)...(1)

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Negative bond yields in 2017

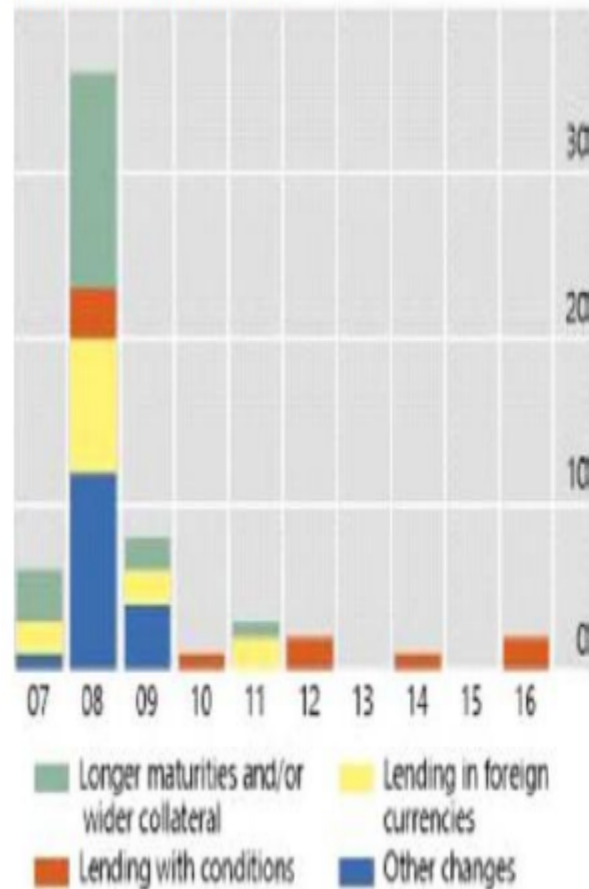
- The European Central Bank (ECB), the Danmarks Nationalbank (DN), the Swiss National Bank (SNB) and the Bank of Japan (BoJ) introduced negative rates between mid-2014 and early 2016.
- Specifically, in June 2014, the ECB reduced the deposit facility rate to -0.1% . The deposit facility rate was subsequently lowered a further 10 basis points in Sept. 2014, Dec. 2015 and Mar. 2016, ultimately bringing the rate to -0.4% . In January 2016, the BoJ also applied a negative interest rate of -0.1% to current accounts that FIs held with it.
- They were unconventional as they imply that the owner of excess reserves incurs a cost for placing them with the central bank, thus defying conventional wisdom that ZLB is to be avoided for risk of falling into liquidity trap. They influenced the formation of agents' future rate expectations and opened up the possibility of ELB below ZLB.
- By 2017, $\sim 40\%$ of the AE bond market was trading on negative yields with volumes of $\sim +\text{US\$14 trillion}$.
- NRIP was very effective in lowering money market rates and easing financial conditions.

What are the Unconventional Monetary Policy Tools (UMPTs)?

Expanded Central Bank Lending Operations (LOs)...(2)

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Number of new operations



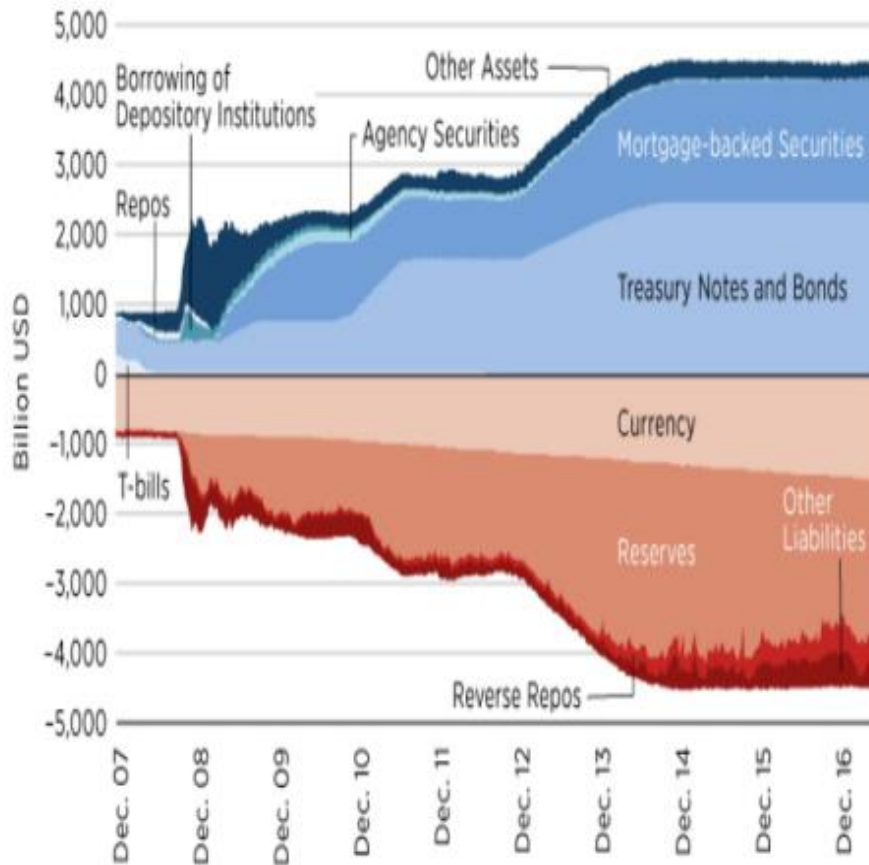
- In many jurisdictions, lending is an integral part of the central bank's toolkit, consisting of short-maturity operations designed to facilitate the implementation of interest-rate policies. Unconventionally, starting GFC, central banks created new, large such facilities or extended ones to provide ample liquidity through liquidity lines to a wider array of financial institutions under considerably looser conditions allowing lower-quality collateral for longer horizons and at a lower cost.
- These operations typically expanded the set of eligible collateral to riskier ones and the set of counterparties to beyond banks, changing the lending terms (eg fixed rate full allotment) and imposing explicit conditions on loans to ensure the desired ultimate outcome (e.g. bank lending to NBFCs or non-financial private firms).
- For instance, the Fed launched its Term Securities Lending Facility Options Programme (TOP) in July 2008, which offered primary dealers the option of obtaining additional liquidity through its newly established Term Securities Lending Facility (TSLF) in times of high liquidity demand, such as at quarter-end dates. The Fed's Primary Dealer Credit Facility (PDCF) imposed a usage fee that increased every 45 business days to discourage borrowers from using it as a permanent source of funding. The Bank of Canada (BoC) established the Term Loan Facility (TLF) and the Term Purchase and Resale Agreement (TPRA) for Private Sector Instruments as backstop facilities. Both offered access to collateralised funding during the height of the crisis in 2008 and 2009 but had relatively low take-up, in line with their purpose as a backstop. RBI offered special liquidity lines to AIFs like NABARD, NHB & SIDBI & Special LTROs for SFBs. Besides on tap liquidity lines for emergency health services and for contact intensive sectors. It also opened special liquidity facilities for MFs
- LOs didn't necessarily improve lending immediately.

What are the Unconventional Monetary Policy Tools (UMPTs)?

Quantitative Easing (QE) as Large Scale Asset Purchase Operations (LSAPs) ...(3)

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Fed Balance Sheet



■ FEDERAL RESERVE BANK OF ST. LOUIS

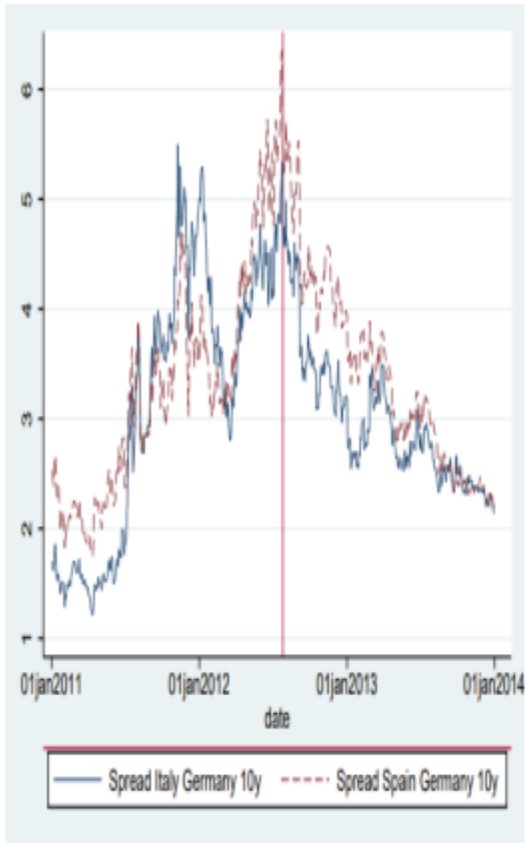
SOURCES: Federal Reserve Board/Federal Reserve Economic Data (FRED).

- Central banks made large-scale purchases of assets going beyond short-term treasury instruments, stretching OMOs unconventionally. The purchases included longer-term and private sector assets, often not just for providing liquidity but in a bid to directly influence asset prices. These APPs in many cases represented a form of credit allocation and fell outside the scope of conventional monetary policy. Purchases of government and private sector debt reduced interest rates and associated risk premia and thus helped improved monetary transmission in face of breakdown of markets. This lowered borrowing costs and stimulated real economy.
- QE was first introduced by BoJ in march 2001, following a long period of deflation that prompted it to use zero interest rate policy (ZIRP) during 1999–2000. After the GFC, the Fed, boE & ECB were amongst the central banks that resorted to QE. Starting Nov. 2008, the Fed did three rounds of QE after GFC and one after the pandemic set in. BoE started QE in March 2009 & again in Nov. 2020. ECB undertook LSAP of covered bonds in May 2009 and purchased around €250 billion worth of sovereign bonds from targeted member states in 2010 and 2011 under the SMP. However, until 2015, it refused to openly admit they were doing QE. SNB undertook LSAP starting 2013.
- Transmission from QE takes place through several channels: (i) credit channel, (ii) portfolio rebalancing, (iii) exchange rate, (iv) fiscal effects, (v) asset prices, (vi) signalling effect. QE generally works through the portfolio rebalancing and the signalling channel. It is generally considered effective in lowering interest rates and boosting the stock market. However, its broader impact on the economy is less clear,

What are the Unconventional Monetary Policy Tools (UMPTs)?

Forward Guidance (FG) ...(4)

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- FG is an UMPT used by central banks to influence monetary policy/ interest rate expectations through statements/forecasts. In a period of deep shocks, uncertainty mounts but FG clarifies central bank's intentions and thus, helps lower uncertainty. Such guidance, generally signal central bank's willingness to pursue ultra-accommodative monetary policies for an enduring period of fixed time (time-dependent) or till specified conditions prevail (state-dependent). This helped shape private sector expectations and improved their risk appetite to spend or invest. But these commitments also came in way of timely withdrawal of monetary accommodation.
- The BoJ introduced FG in April 1999, two months after having lowered its policy rate to zero, by announcing that it would **continue with the ZIRP** until deflationary concern was dispelled. In Dec. 2012, the FOMC statement indicated it will hold policy rates near zero at least until unemployment falls below 6.5% or inflation rises above 2.5%. This came to be known as the “**Evans Rule**” named after Charles Evans, Fed Chicago President who advocated it. The FOMC in March 2014 decided to remove the mention of the explicit thresholds in its guidance but emphasized that there has been in the stance of the monetary policy. On 26th July 2012, the President of the European Central Bank (ECB), Mario Draghi, delivered a short speech (remarks) at a Global Investment Conference in London that brought the crucial turnaround in the euro crisis. He said, “Within our mandate, the ECB is ready to do **whatever it takes** to preserve the euro. And believe me, it will be enough.”
- During pandemic, RBI MPC statement used time-dependent FG by stating that it “decided to continue with the **accommodative stance as long as necessary** – at least during the current financial year and into the next financial year – to revive growth on a durable basis and mitigate the impact of COVID-19 on the economy, while ensuring that inflation remains within the target going forward.”

Augmenting Interest Rate operating procedures through with forward-looking surveys: The RBI approach

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Forward-looking Surveys

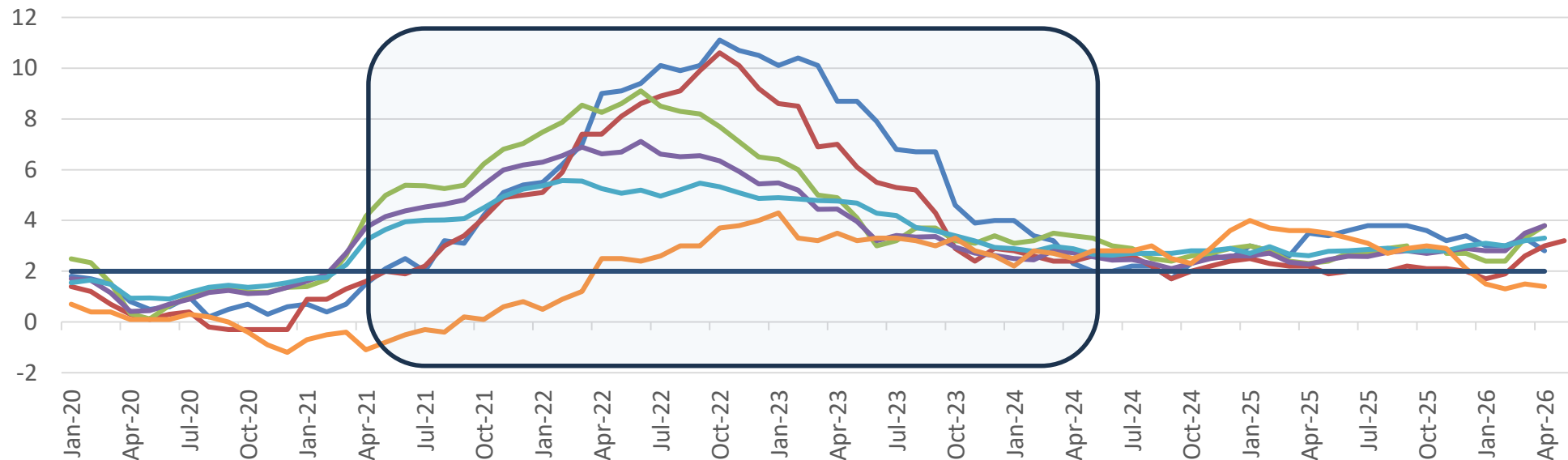
- Industrial Outlook Survey (IOS)
- Order Book, Inventories & Capacity Utilisation Survey (OBICUS)
- Services and Infrastructure Outlook (SIOS)
- Credit Conditions Survey/ Bank Lending Survey (BLS)
- Rural Consumer Confidence Survey (RCCS)
- Urban Consumer Confidence Survey (UCCS)
- Services & Infrastructure Outlook Survey (SIOS)
- Inflation Expectations Survey of the Households (IESH)
- Survey of Professional Forecasters (SPF)

These surveys are important inputs for MPC decisions under FIT

Should central banks undertake pre-emptive monetary tightening now at the risk of engineering recession or risk falling behind the curve once more?

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Headline Inflation in Advanced Economies (AEs) % (updated as of 8-Jun-26)



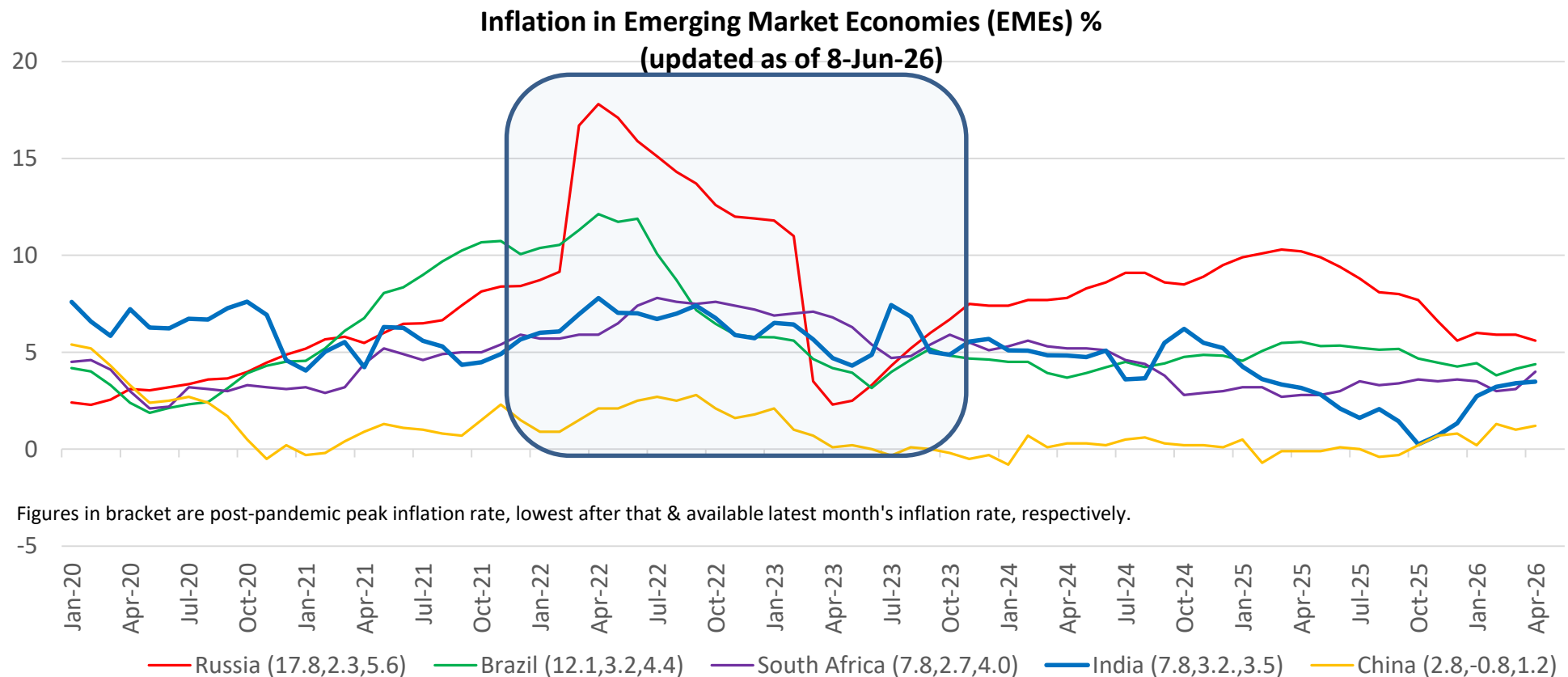
Figures in bracket are post-pandemic peak inflation rate, lowest after that & available latest month's inflation rate, respectively

UK (11.1,1.7,2.8) Euro area (10.6,1.7,3.2) US (9.1,2.3,3.8) US (PCE) (7.0,2.1, 3.8)
US (Core PCE) (5.6,2.5,3.3) Japan (4.3,2.2,1.4) Target (2.0)

Q for Discussion: Inflation has surged in March & April 2026 in most countries but the inflation spike may have just begun & nowhere compares the post-pandemic experience when AE central banks were caught behind the curve but managed to soft-land on the back of aggressive monetary tightening. Should central banks now undertake pre-emptive tightening to avoid the risk of again falling behind the curve or hold the line in view of their limitation to address stagflationary shocks?

Are EM on the cusp of inflation spike? Should they pre-emptively tighten monetary policy or will that bring to fore financial stability risks?

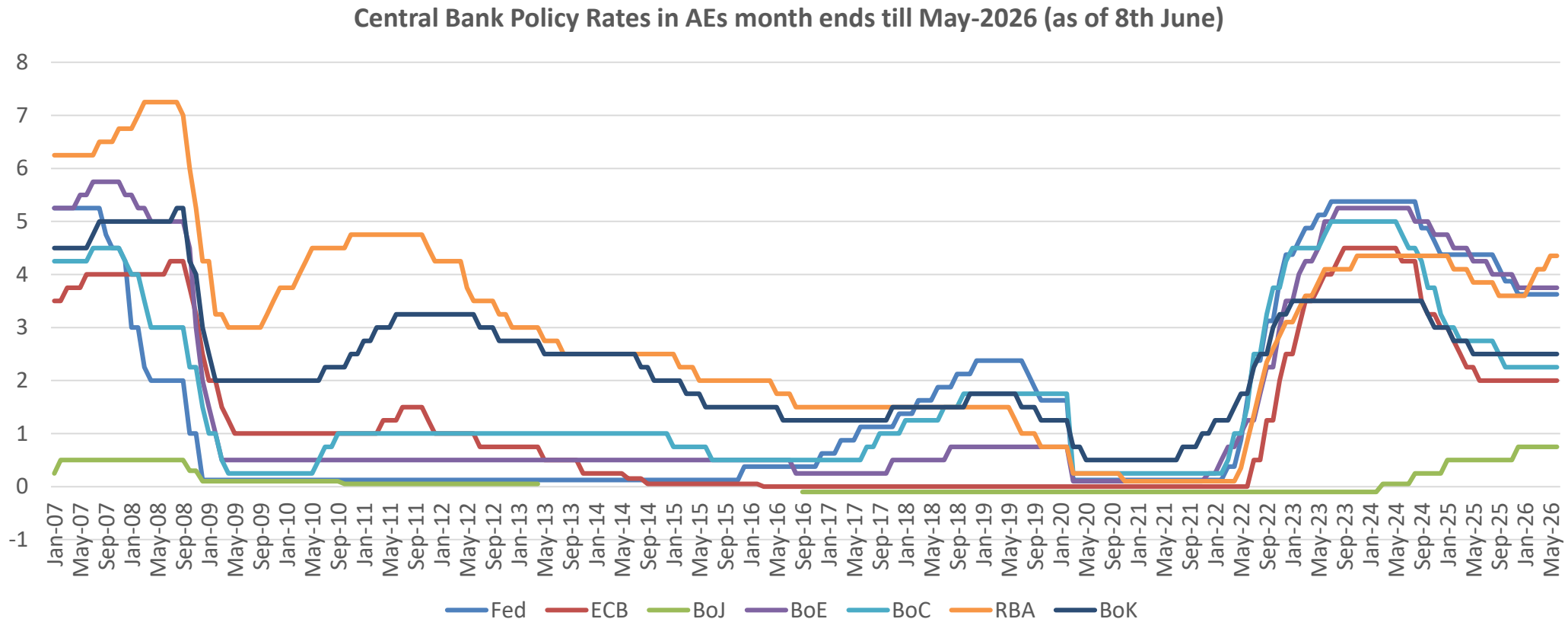
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Q for Discussion: Current inflation rates in EMs are largely within inflation targeting tolerance bands but risks of inflation surge remain large with incomplete passthrough of energy price shock, as also of exchange rate passthrough besides the risk that inflation expectations may surge ahead. Does this merit pre-emptive monetary tightening by EM central banks as well?

After Divergent monetary policies, AE central banks have moved to wait & watch mode of holding rates, but could they soon enter a tightening cycle?

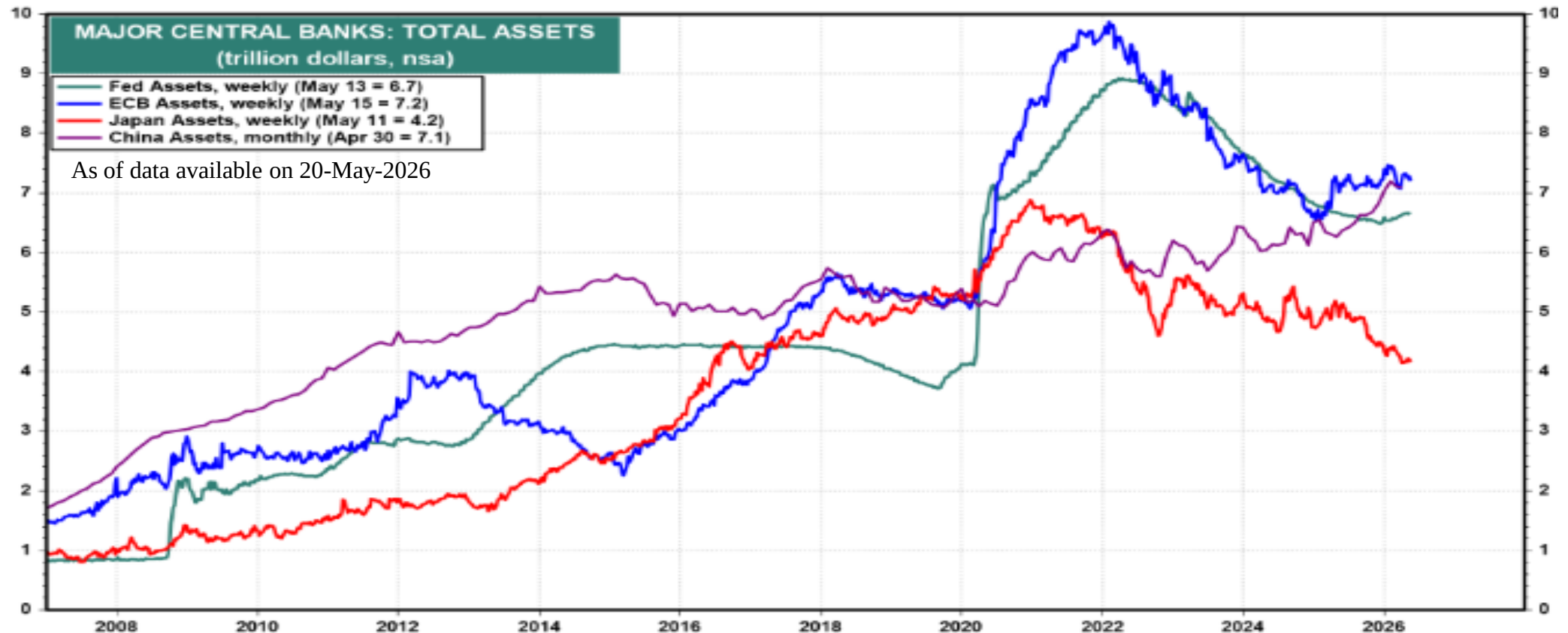
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Q for Discussion: With notable exception of BoJ, which is already in tightening cycle, AEs are already facing inflation above their 2% target & energy price shock risks surge in inflation & inflation expectations. Does this merit end to dithering & an immediate monetary tightening by AE central banks?

Sans PBoC, other three major central banks had been contracting their balance sheets, though Fed & ECB seems to have abandoned QT of late; will QE follow?

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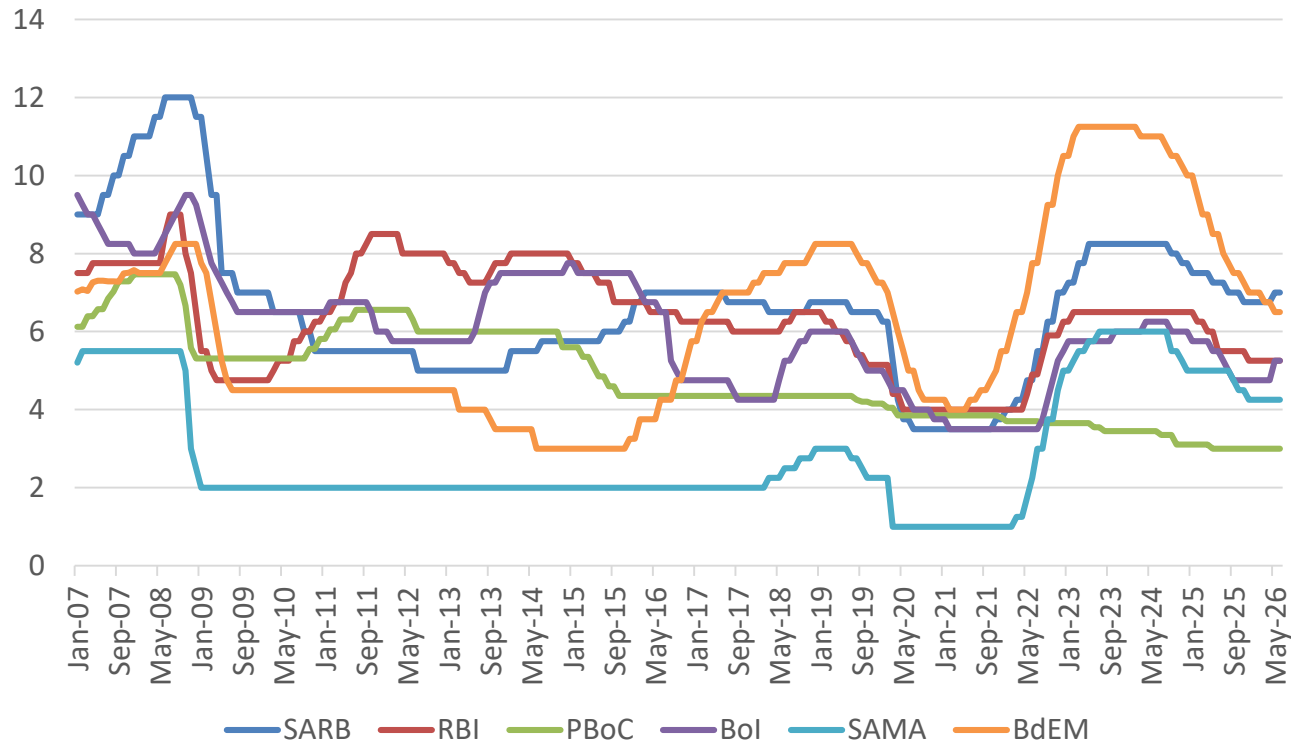


Q for Discussion: With During past shocks – GFC & the pandemic growth recovery was supported by QE. Would it be the same in the case of Iran oil price shock? Will growth collapse lead to a quick demise of inflation too to open gates for QE or will we see a prolonged inflation requiring monetary policy to go into an extended tight policy cycle posing severe stability risks?

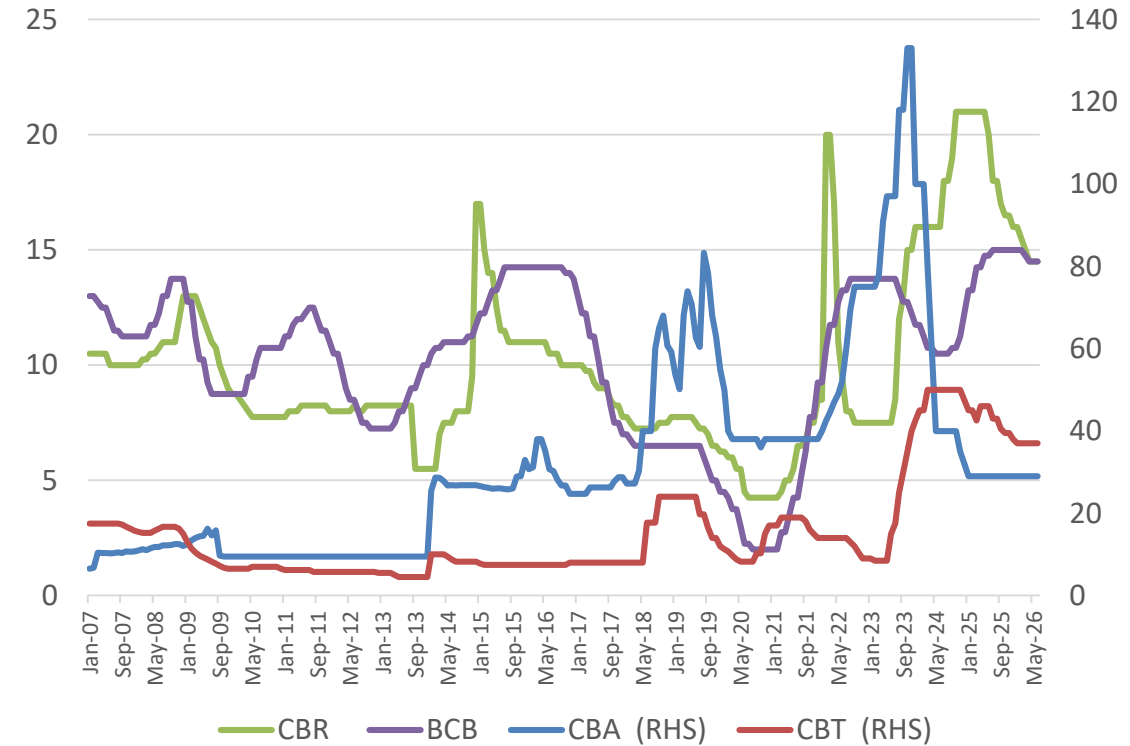
EM central banks are in easing cycle or holding rates; would they soon be compelled to hike rates?

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Central Bank Policy Rates in Select EMEs (%),
Month-ends till May-26 (as of 8th June)



Central Bank Policy Rates in High Inflation EMEs (%),
Month-ends till May-26 (as of 8th June)



Q for Discussion: The risk of inflation expectations becoming unanchored is rather large in case of EMs as they face (i) energy price shock; (ii) exchange rate depreciation feeding into imported inflation shock & (iii) inflation expectations feeding into inertial inflation. Yet, in case of energy importers, EM growth is also at greater risk. What should monetary policy do then?

The Case for Inflation Targeting in Theory

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- **Precursor to Rogoff's seminal paper:** Much of the early rational expectations (RE) school believed that the way for monetary policy to be effective was to introduce surprises. Unanticipated monetary policy mattered, anticipated monetary policy did not as agents already build them into their expectations. However, Kydland & Prescott (1997) demonstrated time-inconsistency of monetary policy explaining that you can only surprise once and once agents build that surprise into their expectations, future monetary policy surprises become ineffective. Therefore, monetary policy needed to be consistent and credible. With this the focus was back on delegation for the conduct of monetary policy.
- Barro and Gordon (1981, 1983) focused on the credibility problem in the form of an inflationary bias but did not deal directly with independent central banker
- **Rogoff's paper & more:** It was Kenneth Rogoff's seminal paper in QJE (1985), "The Optimal Degree of Commitment to an Intermediate Monetary Target", that first circulated as an IMF WP in 1982 that introduced the idea of instituting an independent central bank as a solution to the time-consistency problem highlighted by Kydland and Prescott (1977) and Barro and Gordon (1981, 1983). Rogoff's model showed that independent central banker can overcome the problem of Inflationary bias (i.e. outcome of discretionary monetary policy) that leads to a higher than optimal level of inflation.
- **Carl Walsh (1995)** and Persson and Tabellini (1993) have argued that the apparent trade-off between credibility and flexibility arises because the delegation mechanism is restricted to ad hoc incentive structures. If instead an inflation contract ensuring an optimal incentive structure were introduced, the best feasible equilibrium would prevail with full credibility.

Inflation Targeting in Practice

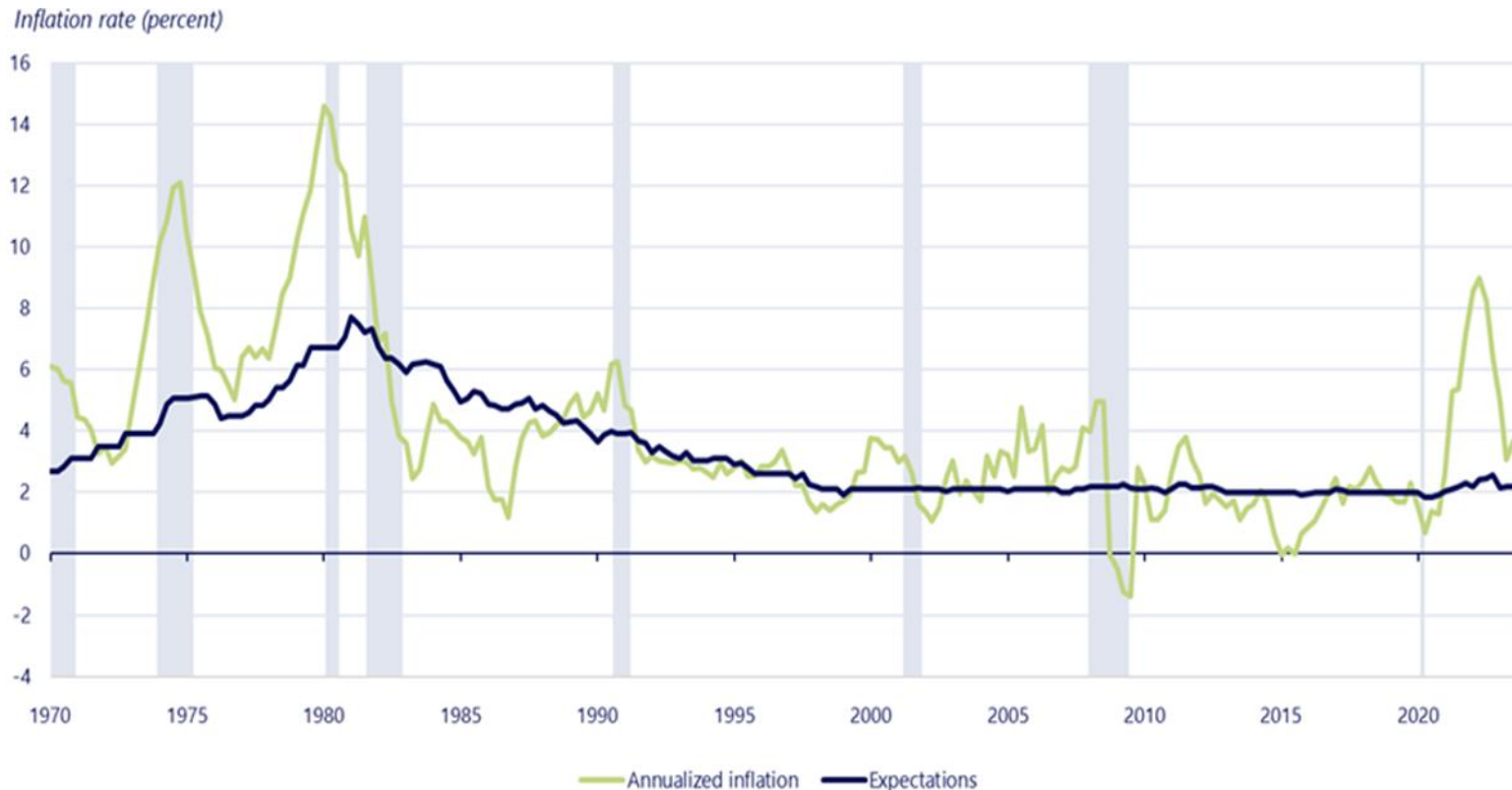
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- Reserve Bank of New Zealand (RBNZ) 1990
- Bank of Canada 1991
- Bank of England 1992
- Bank of Sweden 1993
- Reserve Bank of Australia 1993
- Turkey Central Bank (TCBM) 1996
- Bank of Israel 1997
- Czech National Bank 1997
- National Bank of Poland 1998
- Brazil Central Bank (BCB) 1998
- European Central Bank (ECB) (since inception in 1998)
- Chile Central Bank (BCC) 1999
- South African Reserve Bank (SARB) 2000
- Bank of Indonesia (BoI) 2000
- Bank of Thailand (BoT) 2000
- Bank of Korea (BoK) 2001
- Bank of Mexico 2001
- Central Bank of Iceland 2001
- Norges Bank, Norway 2001
- Bangko Sentral ng Philipinas, Philippines (BSP) 2002
- US Federal Reserve Board 2012
- Bank of Japan (BoJ) 2013
- Reserve Bank of India (RBI) 2016
- Central Bank of Sri Lanka (CBSL) 2024

Empirical Evidence: Central Bank Independence was gained rapidly during 1990s; movement has stalled but not regressed since then

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CPI inflation & Inflation Expectation in the U.S., 1970-2022



Council of Economic Advisers

Source: Federal Reserve Economic Data (FRED); FRB/US; CEA calculations.

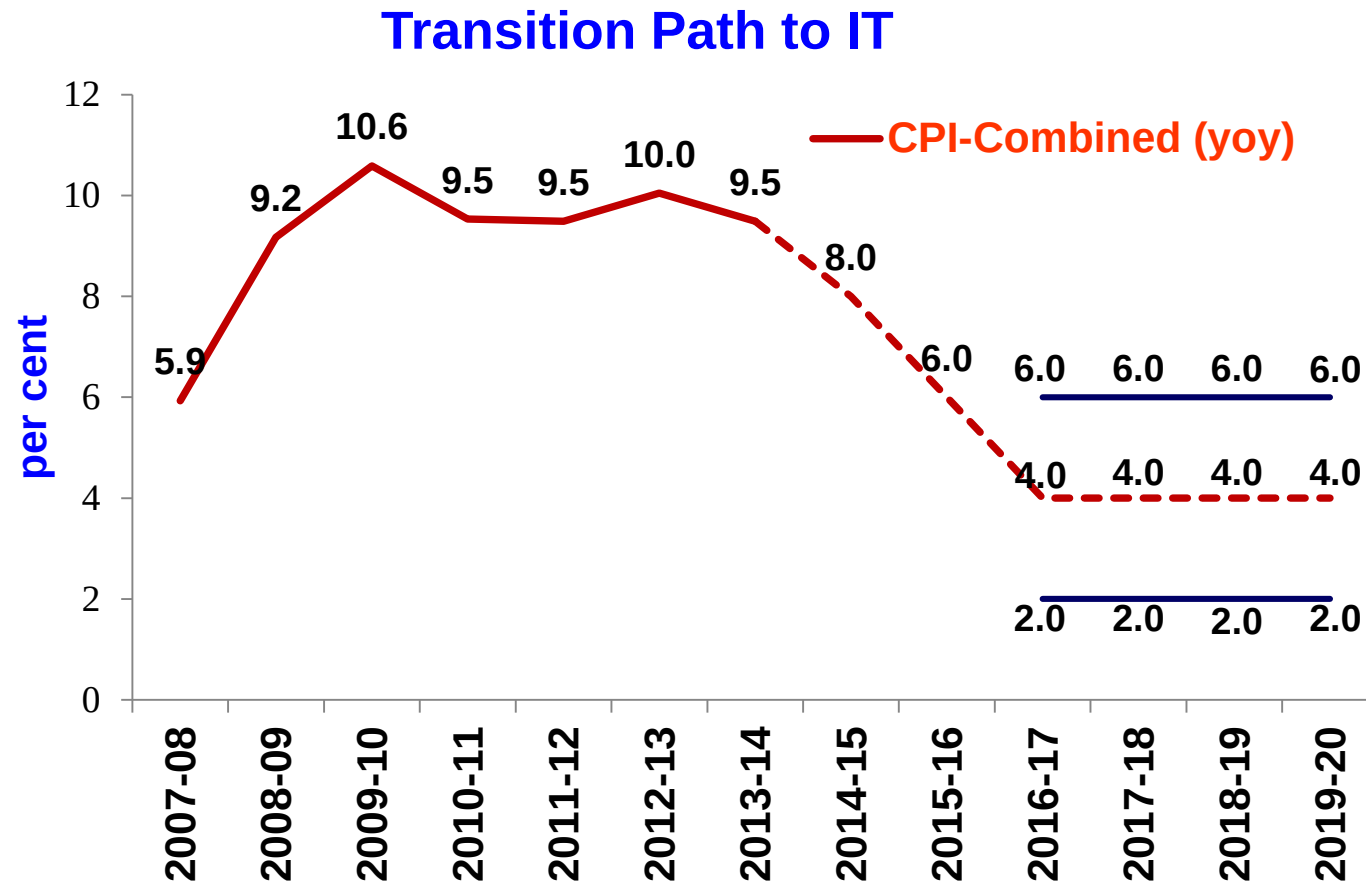
Note: Inflation is calculated as the year-on-year growth in CPI sampled at a quarterly frequency. Inflation expectations are based on the FRB/US perceived inflation target rate (PTR) measure.

Grey bars indicate recessions.

As of May 22, 2024 at 5:00pm

- Inflation targeting monetary policy framework backed by central bank independence delivered a period of 'Great Moderation' in Inflation.
- The Great Moderation is the name given to the period of decreased macroeconomic volatility experienced in the U.S. & several other AEs from the mid-1980s to the financial crisis in 2007.
- Not only inflation was anchored at or around the 2% inflation target in most AE central banks but inflation expectations also were dampened and became by an large anchored around the target except odd oscillations.
- The success of monetary policy in this framework is largely unquestioned except that there is debate that good luck aided good monetary policy.

Proposed Glide Path for Disinflation by Urjit Patel Committee



- The Committee to Revise and Strengthen Monetary Policy Framework (Chairman: Dr. Urjit Patel) submitted its report in 2014 advocating introduction of Inflation Targeting Framework in India
- It suggested a glide path to 4% as inflation target with an upper tolerance band of 6% and lower tolerance band of 2%
- After introduction of inflation targeting this was successfully achieved
- It also suggested headline inflation measure as new CPI that was All-India monthly index in place of weekly WPI inflation

Tryst with Destiny: RBI and GOI achieved an institutionalised modern monetary policy framework implemented since Oct 2016

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- The Committee to Revise and Strengthen Monetary Policy Framework (Chairman: Dr. Urjit Patel) had submitted its report in 2014 advocating introduction of Inflation Targeting Framework in India
- A landmark 'Agreement on Monetary Policy Framework' was signed between President of India acting through the MOF, GoI and the RBI on February 20, 2015.that formally paved the way for inflation targeting
- RBI Act amended as part of the Finance Act, 2016 (Union budget 2016-17) that reset the primary objective of the monetary policy explicitly to maintaining price stability, while keeping in mind the objective of growth. It also provided RBI with legal mandate for inflation targeting through decision-making by Monetary Policy Committee (MPC).
- The 6-member MPC was set up: Governor (Chairperson of the MPC with a casting vote in case of a tie) and DG in-charge of monetary policy are ex-officio members; one more member from RBI (appointed by the Central Board) and three external members (appointed by the GOI) as experts in the field of economics or banking or finance or monetary policy. External members appointed for a 4-years non-renewable term.
- Majority voting with each member having one vote. Governor cannot veto but has a casting vote. The MPC will meet at least 4 times a year. It currently meets at least six times a year in a bi-monthly cycle of scheduled meetings and at time have met additionally in off-cycle meeting

Making of the Monetary Policy in India under the FIT...(1)

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- The Central Government, i.e., Government of India (GOI) shall, in consultation with the Bank, determine the inflation target in terms of the CPI, once in every five years.
- A 6-member MPC has been set up:
 - **INTERNAL MEMBERS:** Governor (Chairperson of the MPC) and DG in-charge of monetary policy are ex-officio members; one more member from RBI (appointed by the Central Board)
 - **EXTERNAL MEMBERS:** three external members (appointed by the GOI) as experts in the field of economics or banking or finance or monetary policy. External members are appointed for a 4-years non-renewable term.
- Majority voting with each member having one vote. Governor cannot veto but has a casting vote in the case of tie. The MPC is required to meet at least 4 times a year. It currently meets at least six times a year in a bi-monthly cycle of scheduled meetings and at times may have met additionally in off-cycle meeting.
- The meeting schedule of the MPC has to be published by the RBI at least one week before the first meeting in that year. The schedule can be changed by way of a decision taken at a prior meeting of the MPC or in the opinion of the Governor, an additional meeting is required, or a meeting is required to be rescheduled due to administrative exigencies.

Evolution of Central bank Communication

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- Central bank communication has evolved with the central banking itself.
- Changes in Monetary Policy frameworks and operating procedures has had a significant influence on central bank communication
- Transformation in Media technology also has had a profound impact on central bank communication.
- From the deliberate strategy to obfuscate communication in a bid to surprise markets:

"I know you think you understand what you thought I said but I'm not sure you realize that what you heard is not what I meant" - Alan Greenspan, former Vice Chairman, Fed & Princeton Univ Prof.

- To an era of transparency based on economic rationale for improving transmission and stability to

"A central bank that speaks with a cacophony of voices may, in effect, have no voice at all" - Alan Blinder

RBI continue to use policy interest rate (repo rate) to target inflation at 4±2% under a flexible inflation targeting (FIT) MPF

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(Per cent)

	Level					Volatility				
	CPI-C Inflation	Real GDP Growth	Interest Rate (WACR)	App(+)/Dep(-) of Exchange Rate (REER-36)	Combined GFD/GDP	CPI-C Inflation	Real GDP Growth	Interest Rate (WACR)	Exchange Rate (REER-36)	Fiscal Slippage (Deviation from Centre's Budgeted GFD/GDP)
Pre-FIT										
2012-13	10.0	5.5	8.1	-4.3	6.9	0.5	1.4	0.2	2.0	-0.2
2013-14	9.4	6.4	8.3	-2.2	6.7	1.3	0.8	0.9	2.2	-0.3
2014-15	5.8	7.4	8.0	5.5	6.7	1.5	1.2	0.2	0.9	0.0
2015-16	4.9	8.0	7.0	2.9	6.9	0.7	0.8	0.3	1.3	0.0
Average	7.5	6.8	7.8	0.5	6.8	2.4	1.4	0.7	1.6	-0.1
FIT										
2016-17	4.5	8.3	6.2	2.2	6.9	1.0	1.4	0.2	0.7	0.0
2017-18	3.6	6.8	5.9	4.5	5.8	1.2	1.1	0.1	1.3	0.3
2018-19	3.4	6.5	6.3	-4.8	5.8	1.1	0.7	0.2	1.9	0.1
2019-20	4.8	4.0	5.4	2.4	6.9	1.8	0.9	0.4	1.2	1.3
Average	4.1	6.4	6.0	1.1	6.4	1.4	1.8	0.4	1.3	0.4

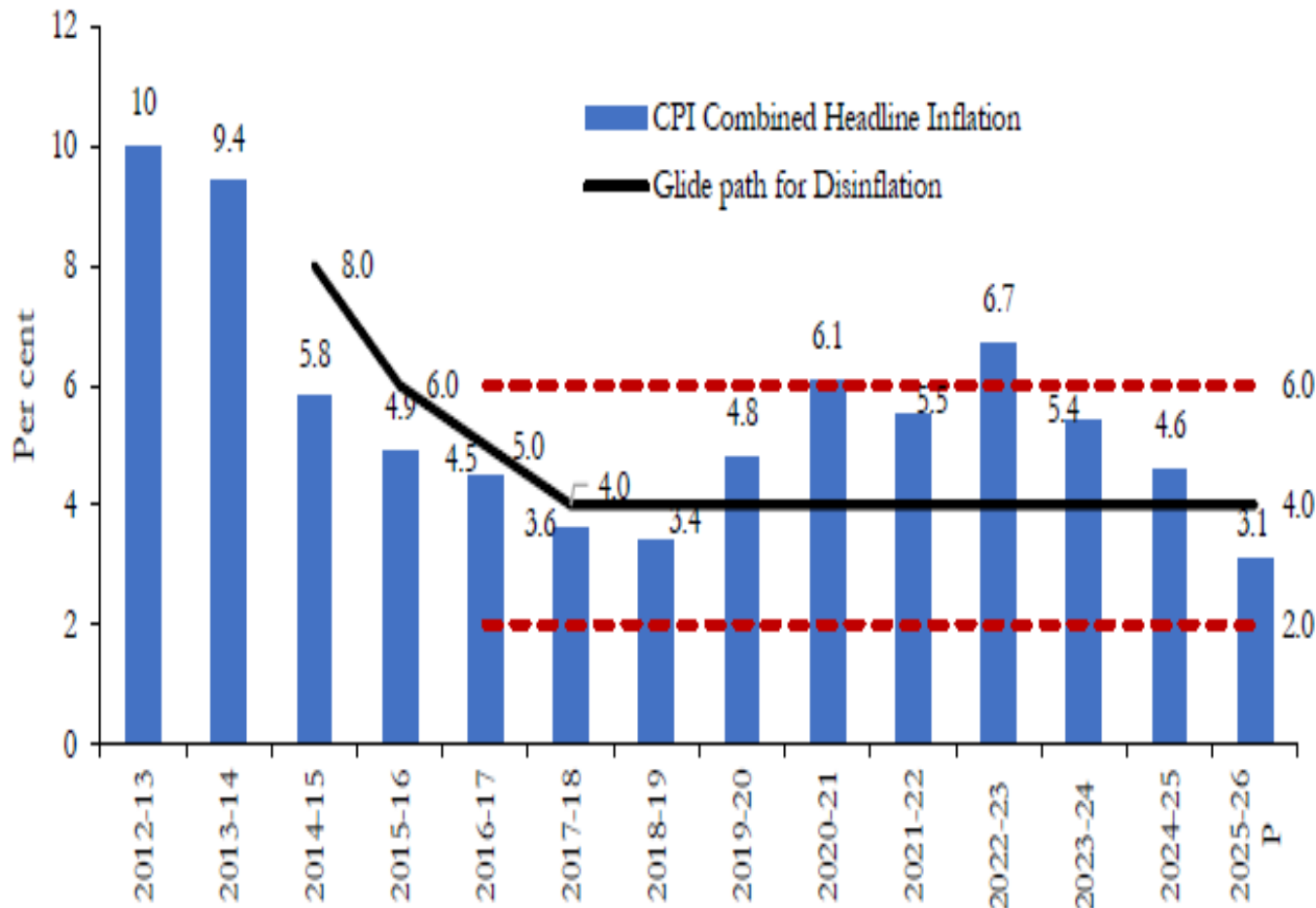
Note: Volatility is measured by standard deviation of monthly y-o-y inflation, quarterly y-o-y GDP, monthly WACR and monthly appreciation/depreciation of exchange rate. Fiscal slippage is defined as the deviation of the actual GFD/GDP ratio of the central government from the budgeted levels. Average volatility indicates standard deviation of the variable for the relevant full period.

- FIT was introduced after large GFC stimuluses were not winded back in time with recovery in real activity leading to high inflation where various CPI inflation measures showed that average inflation was running at ~10% for six years. This loss of nominal anchor prompted RBI to shift to IT
- IT clearly delivered disinflation gains as FIT period delivered average inflation at 4% target without much output sacrifice, It did not cause interest rates to rise and other macro-parameters remained under control
- Only during pandemic period has the inflation breached inflation targets (it has averaged 5.7% during FY21-25) and this was conscious decision to avert deep scarring and job losses during the unprecedented COVID-19 shock
- RBI raised policy rates by 140 bps in the post-pandemic tightening cycle to fight inflation in accordance with the inflation targeting framework

Has the Flexible Inflation Targeting (FIT) Framework Worked for India?

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Chart 1: Nine Years of FIT

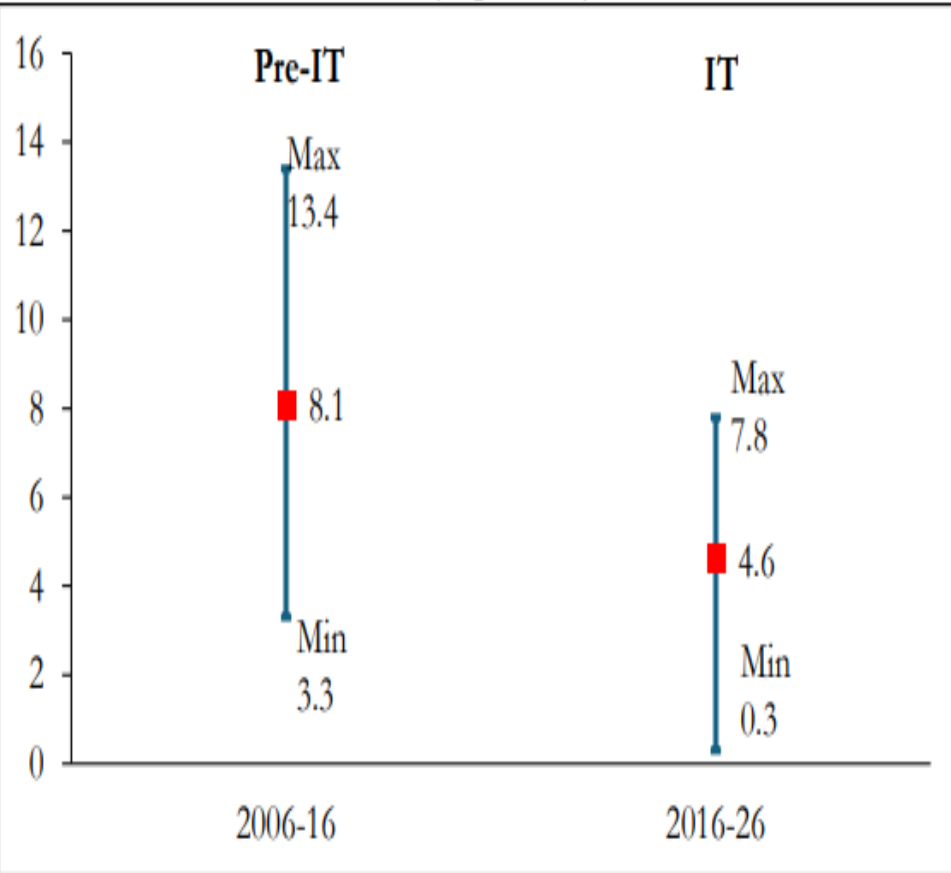


India has dis-inflated twice very successfully – first when the FIT regime was ushered in & second after the post-pandemic recovery inflation

- With the outbreak of the pandemic and associated supply chain disruptions, inflation breached the upper tolerance band in few quarters during 2020-21 and 2021-22.
- Following the Russia-Ukraine conflict, inflation again veered away from its target under the impact of a broad-based spike in global commodity prices, the resurgence of supply chain and logistics bottlenecks and sanctions, coupled with second-round effects of repeated supply side shocks

Proposed Glide Path for Disinflation by Urjit Patel Committee

Chart 1: Inflation Trends: Decadal Averages Pre IT and IT Periods
(in per cent)



Source: RBI staff calculations.

- RBI DG Poonam Gupta recently defended FIT at NCAER, stating it has successfully delivered lower inflation, sustained growth, and better-anchored inflation expectations. She affirmed that the framework remains the ideal approach for India's macroeconomic landscape. She noted the framework renewal: through March 2031.
- **Growth Continuity:** Addressing concerns that the RBI might neglect growth, she presented evidence that the Monetary Policy Committee (MPC) remains a "flexible targeter." The RBI has successfully balanced inflation management without hindering output.
- **Shock Absorption:** She argued that the $\pm 2\%$ tolerance band has provided the exact flexibility required to absorb severe, ongoing external shocks, such as geopolitical crises and the pandemic.
- **Future Revisions:** Looking beyond 2031, Dr. Gupta noted that if India's robust growth and stable inflation mix persists, policymakers could eventually consider lowering the target rate and narrowing the tolerance band.

Some podcasts/ videos you may like to watch on Monetary Policy

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Ray Dalio & Paul Volcker on How Volcker Broke the Back of Inflation in the 1980's

<https://www.facebook.com/watch/?v=3306627536275680>

- **Monetary Policy & Inflation Targeting (Rudra Sensarma in conversation with Mridul Saggar)**

<https://www.youtube.com/watch?v=wZdVPHCALCI> (Part-1)

<https://www.youtube.com/watch?v=u4bL1-3Y4x8> (Part-II)

- **CEA Questions RBI's Inflation Targeting Approach, Wants Review of The Current Framework | CNBC TV18 Latha Venkatesh interviewing Mridul Saggar**

<https://www.youtube.com/watch?v=hGKP3da0IMA>

- **RBI's latest monetary policy of June 6, 2026**

<https://www.youtube.com/watch?v=sefK5mO8qaQ>

(also read the article in Business Line on June 11, 2025 on “will Monetary bazooka work?”)